

Age 12

Financial Planner Day

Hopefully, by age 12, your child's socked away some money. Every little deposit adds up, so her account should be growing. She's still setting aside 10 percent of everything she earns—and now that she's a petulant preteen, she probably delights in keeping her Secret 10 a secret. Assuming she does have that Secret 10, you're going to help her grow it.

For her 12th birthday, you're taking your daughter to meet your financial planner. This can be a more traditional planner, or the broker who oversees your investment portfolio. If you've got one of each, take her to both. Your daughter most likely will have a cursory understanding of the stock market from school. By seventh grade, most students have received a rudimentary lesson or two, depending on how cool their math teacher is. Maybe your kid has been lucky and has even had a chance to do some investment role play. But your advisor will be able to show her actual numbers: the gains on *your* investments. That's right. You're opening the books for your child to see—in real terms—what you have for your future.

Perhaps you want to leave it at that: showing your child your portfolio and explaining your investment philosophy. Which, if you were paying attention, should be: *never invest in a security or stock that doesn't pay a dividend or interest, and spend the interest, never the principal.*

I'm betting that, once your child sees the way your money is growing, she's going to want in. That's what happened with Trevor. I made him put 10 percent of every cent he earned into a separate account (in my trust until he turns 18), and now he's investing online. A few months ago, he asked me about dividends and interest, so I've been teaching him about dividend-paying stock. I give him advice about what to buy, advice he can take or leave, and we invest in stocks together. His first purchase was one of the O'Leary mutual funds and some Canadian bank stocks. He loves the stock market because he understands how to use it to his advantage—and he's making money now, too.